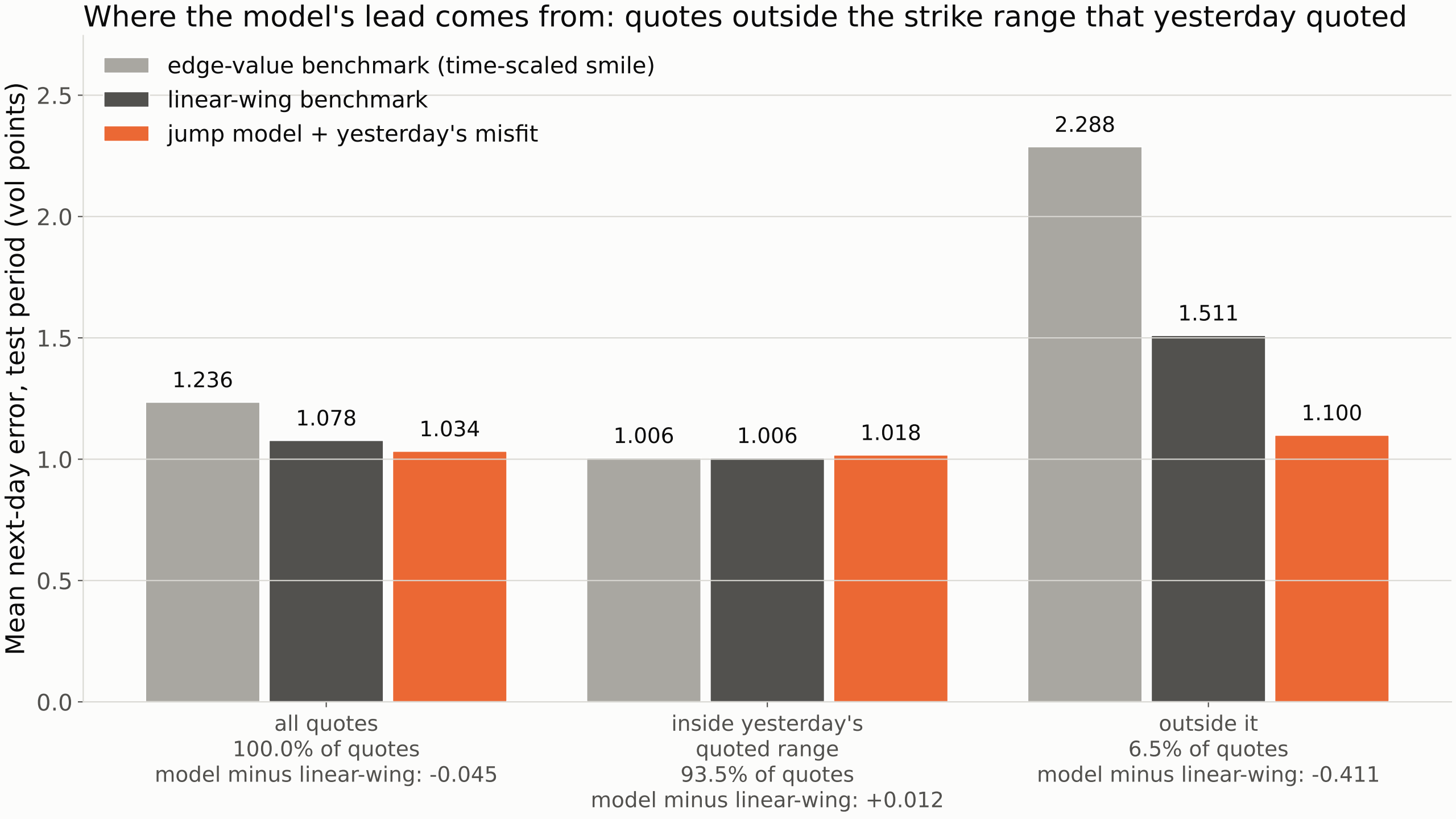
Where the model's lead comes from: quotes outside the strike range that yesterday quoted
edge-value benchmark (time-scaled smile)
linear-wing benchmark
jump model + yesterday's misfit
Mean next-day error, test period (vol points)
2.5
2.0
1.5
1.0
0.5
0.0
1.236
1.078
1.034
1.006
1.006
1.018
2.288
1.511
1.100
all quotes
100.0% of quotes
model minus linear-wing: -0.045
inside yesterday's
quoted range
93.5% of quotes
model minus linear-wing: +0.012
outside it
6.5% of quotes
model minus linear-wing: -0.411